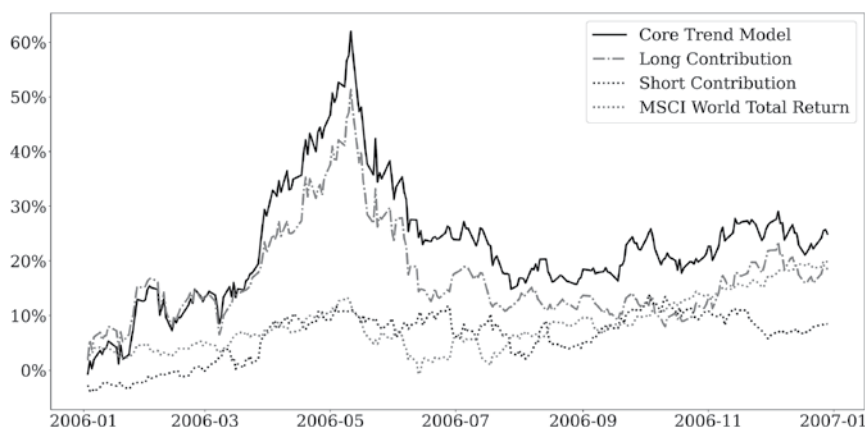


TABLE 6.18 Initial sector allocation 2006

	Long	Short	Total
Agriculture	6	3	9
Equities	10	1	11
Non-Agriculture	5	4	9
Rates	0	2	2
Currencies	2	5	7
Total	23	15	38

in April. If you had doubts about what you do for a living a few months ago, they're probably long gone after seeing the profits shoot up to 30 then to 40 and 50 and an amazing 60% return. A 60% return!! On a starting year portfolio worth US\$17 million. Consider that for a moment. You just created US\$10 million in less than half a year. That's a one followed by seven zeros.

But I'm sure by now you've come to realize that the Gods of Trading have a mean sense of humour and that nothing lasts forever. Wouldn't it have been nice if you simply took the money off the table in late May and sat back for the rest of the year? Sure, but you have no way of knowing when these peaks, or bottoms, occur. The losses from that May peak were swift, a large part of the gains gone by July before the strategy returns stabilized (Figure 6.26). It's all part of the game and now, in your fifth year in the market, you should be getting used to it. If anything, this business tends to turn you into a cynic and a pessimist, even if you end up successful.

**FIGURE 6.26** Strategy performance 2006.